

Learning from complaints

Health Claims Forum – 18.9.14

Melissa Collett – senior ombudsman

ombudsman



agenda

- background to our powers and statutory role
- our process for resolving disputes and compare this with court
- lessons that can be learnt from our IP caseload



ombudsman



what is the ombudsman?

- statutory scheme
- replace IOB, PIAOB
- 'fair and reasonable'



our remit

- ***DISP 3.6.1 The Ombudsman will determine a complaint by reference to what is, in his opinion, fair and reasonable in all the circumstances of the case.***



our remit

DISP 3.6.4 In considering what is fair and reasonable in all the circumstances of the case, the Ombudsman will take into account:

(1) relevant:

(a) law and regulations;

(b) regulators' rules, guidance and standards;

(c) codes of practice; and

(2) (where appropriate) what he considers to have been good industry practice at the relevant time.

who can bring a complaint?

- ***2.7.6(5) the complainant is a person for whose benefit a contract of insurance was taken out***

who can bring a complaint?

- ***2.7.7G this includes, for example, employees covered by a group permanent health policy taken out by an employer, which provides in the insurance contract that the policy was taken out for the benefit of the employee.***

what can we award?

DISP 3.7.4 *compensation for:*

(1) financial loss

(2) pain and suffering

(3) damage to reputation

(4) distress or inconvenience

whether or not a court would award compensation

our monetary limits

- ***3.7.4 The maximum money award which the Ombudsman may make is £150,000.***
- ***3.7.6 If the Ombudsman considers that fair compensation requires payment of a larger amount, he may recommend that the respondent pays the complainant the balance.***

our powers of dismissal

- **DISP 3.3 an Ombudsman may dismiss a complaint without consideration of the merits if:**
- **(10) it would be more suitable for the subject matter of the complaint to be dealt with by a court, arbitration or another complaints scheme**



our process

- ***3.5.1 The Ombudsman will attempt to resolve complaints at the earliest possible stage and by whatever means appear to him to be most appropriate, including mediation or investigation***

our process – in a nutshell

- Complaint referred to us by consumer
- Request for business file
- Complaint allocated to specialist adjudicator
- Initial call to consumer, initial contact with business
- Written assessment sent to losing party
- Usually settlement made at this stage
- Fewer than 20% referred to ombudsman for FD

ombudsman



disadvantages



- no formal cross-examination under oath
- no full disclosure of documents
- no appeal for businesses
- limit of £150,000 compensation
- oral hearings rare

advantages over court

- fair and reasonable
- free to consumer
- cheap for businesses
- informal
- doesn't set precedent – each case on its merits
- can be quicker than courts
- mediation
- decision makers with industry knowledge
- compensation that court cannot award

advantages over court, cont

- transparent and accessible
- development of good practice
- insight
- level playing field
- link with regulator
- consumer trust



lessons from complaints

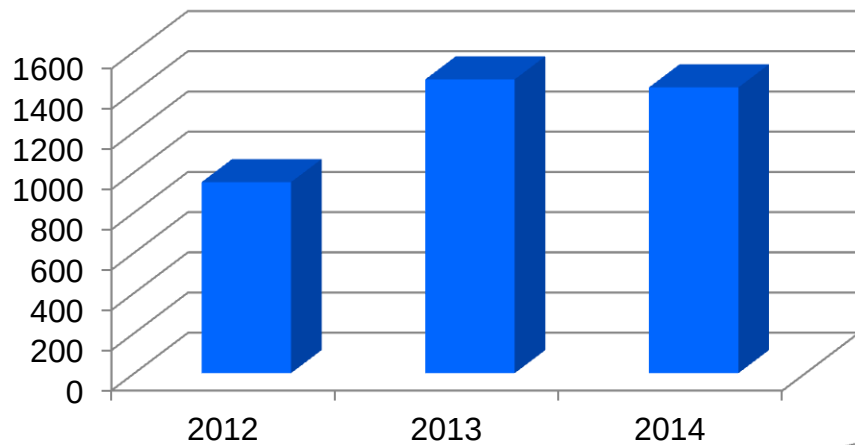
- when assessing complaints, firms are required by DISP to take into account:
 - relevant guidance published by the ombudsman
 - decisions published by the ombudsman concerning similar complaints



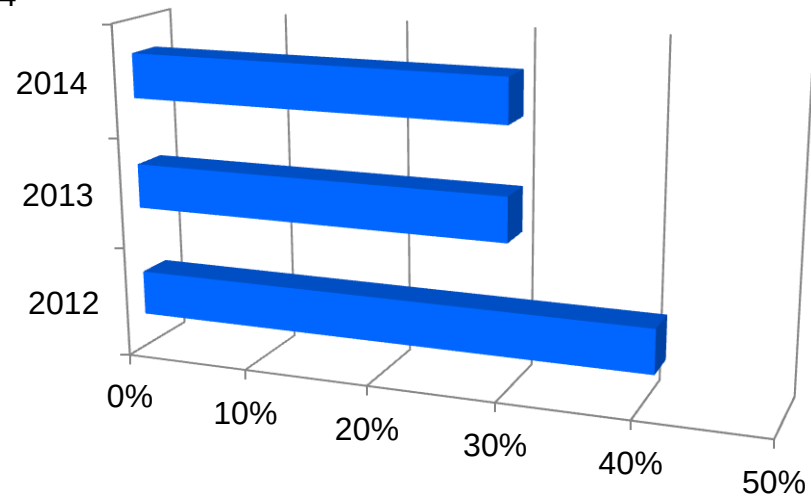
ombudsman

lessons learnt?

income protection complaints



uphold rate



ombudsman



lessons from complaints 1

- Obtain sufficient medical evidence
 - Speak to treating practitioner
 - Don't rely on GP records
- Case example:
 - Auto-immune disease
 - Weekly appointments with consultant
 - Claim accepted

lessons from complaints 2

- **Don't rely on clinical studies – look at the claimant in front of you**
 - **Some people are affected by condition more than others – person may experience rare effects**
- **Case example:**
 - **Nerve problem**
 - **Pain constant not intermittent**
 - **Rare effects genuinely experienced by consumer**

lessons from complaints 3

- **Stabilisation of symptoms does not equal able to return to work**
 - **Lack of comment on ability to work does not mean claim invalid – if in doubt, ask!**
- **Case example:**
 - **Clinical depression**
 - **Seeing GP less regularly, dose unchanged**
 - **Still in therapy, not ready RTW**

more lessons...

- **Consider whether an award for distress is warranted**
- **Deal with issues arising rather than allow a second complaint (and second case fee!) to arise**
- **Settle claims at adjudicator stage to avoid hefty interest payments...and publication of decision**

lessons from mis-sale complaints

- Bulk of our current complaint workload
- Mostly due to raised awareness over PPI
- Majority not upheld
- Complaints about change in circumstances
 - Most people do not appreciate the need to inform insurer of change
 - Fair to make proportionate refund for period not on risk

working together

- **meet regularly with industry bodies and businesses**
- **advise on industry statements of practice**
- **publish case studies and technical notes**
- **provide complaints data**



what the ombudsman is not

- not only about law
- not only about rules and regulations
- not only about terms and conditions...

what the ombudsman is

**you listened to me and cared
about what I had to say**

**you got to grips with things
and used common sense**

**you gave me clear and
honest answers and let
me know where I stood**

ombudsman



ways to contact the ombudsman

You can call our dedicated team for help with handling complaints on:

0207 964 1400



Follow the ombudsman on Twitter to hear the latest news and updates:

@financialombuds

ombudsman



how can we help you?



ombudsman

